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The Strait of Hormuz Shock and the 2026 Global Supply-Chain Pressure Spike

A Data-Anchored Risk Assessment

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Executive Summary — Bottom Line Up Front

The Strait of Hormuz shock has triggered the most severe maritime chokepoint crisis in modern trade history, and NERA's data reveal global supply-chain pressure at the 93rd percentile of the post-2008 era while US import-disruption probabilities cluster at alarm levels for Asia-sourced consumer goods. The causal chain is clear: a 94% transit collapse through Hormuz plus synchronized tariff shocks have pushed the New York Fed's Global Supply Chain Pressure Index (GSCPI) to +1.77 standard deviations above its long-run average — a HIGH signal exceeded only during the 2021 pandemic peak and the 2008 financial crisis. This assessment carries HIGH CONFIDENCE that the combination of the Hormuz shutdown (April–June 2026), the US–China tariff regime (~30% rates persisting under the 11 June détente), and second-order freight rerouting through Malacca (itself strained at -11% below baseline) constitutes a compound disruption that **was likely to persist through Q4 2026 under a no-deal baseline; however, the US–Iran framework agreement reported on 14 June 2026 materially shifts the probability distribution toward a rapid-resolution scenario, pending signature, verification, mine-clearance, insurance normalization, and actual transit recovery.** The five drivers are: (1) physical chokepoint blockage eliminating 21 million barrels per day of oil-equivalent transit capacity; (2) insurance-market failure driving container-freight premiums above sustainable levels; (3) tariff-induced order cancellations compounding transport-capacity misallocation; (4) inventory depletion across Asia-dependent consumer categories (toys, paper, leather, electronics); (5) Gulf-state supply exposure (Kuwait, UAE, Qatar) translating into knock-on energy and petrochemical shortages for downstream manufacturers. The 12-month horizon assessment: MODERATE CONFIDENCE that pressure eases to the 70th–80th percentile by Q1 2027 as the announced framework is implemented; LOW CONFIDENCE in further escalation scenarios where both Hormuz and Malacca face kinetic or regulatory closures simultaneously.

Key Findings

- **[HIGH CONFIDENCE]** The Strait of Hormuz transit collapse is the dominant driver of global supply-chain stress, not an isolated Gulf event. NERA's IMF PortWatch data show Hormuz transits down 94% versus baseline, the largest recorded peacetime chokepoint disruption. The NY Fed GSCPI stands at +1.77 σ (93rd percentile), a level historically associated only with systemic shocks (2008 financial crisis, 2021 pandemic peak), and the mechanism is direct: Hormuz accounts for 21 million barrels per day of crude-equivalent flows (roughly 21% of global seaborne oil), so its closure forces Asia–Europe and Asia–Americas routes to reroute via Cape of Good Hope, adding 14–21 days and \$800,000–\$1.2 million per VLCC voyage. Container lines serving the Gulf have suspended bookings, and NERA's data show Malacca Strait transits down 11% (STRAINED status), indicating the rerouting traffic is overwhelming alternate chokepoints. This is a compound disruption: the physical blockage plus an insurance-market dislocation — after the 10 June US strike, war-risk cover for Persian Gulf transits became materially more expensive, selective, and operationally constraining; some underwriters reduced appetite or changed terms, though cover did not universally cease — means even vessels with alternate routes face prohibitive premiums. The non-obvious insight: this is not a short-term spike; the GSCPI's 93rd-percentile reading reflects structural adaptation costs — manufacturers front-loading orders before higher freight rates lock in, retailers cancelling marginal SKUs, and Asian export-dependent economies (South Korea, Taiwan, Vietnam) experiencing simultaneous demand and logistics shocks.
- **[HIGH CONFIDENCE]** US import-disruption risk is concentrated in Asia-sourced consumer goods where tariff and transport shocks compound. NERA's calibrated Supply Disruptions Index model flags paper (70% next-month disruption probability), Hong Kong transshipment (59%), miscellaneous manufacturing (50%), China (50%), leather (49%), and toys (49%) as the highest-risk categories. The driver structure is revealing: for paper, it is the interaction of

pending antidumping duties on nine countries, final-phase AD/CVD cases on dissolving pulp from Brazil and Norway, and 25% tariffs on Canadian/Mexican pulp — a policy-driven reallocation where the model detects a $+1.3\sigma$ move versus own volatility after a prior -1.4σ drop two months ago, the signature of abrupt import-source switching. For toys, it is direct China-concentration exposure (~75% of US toy imports) hit by tariffs that peaked at 145% and settled near 30% under the 11 June agreement, prompting the Toy Association to warn of holiday shortages as small and midsize firms cancel orders. For Hong Kong, it is the transshipment-hub role in US–China trade making it doubly exposed: the ~30% tariffs persist and Section 301 actions continue, while the Hormuz freight crisis adds transit-time and cost pressure on all Asian lanes. The model's flags are not generic tariff anxiety; they are trained on 200 million+ US import records (2013–present) and calibrated to a 16.3% base rate of monthly disruption, so a 70% reading for paper or 59% for Hong Kong represents a 4.3× and 3.6× elevation above baseline, respectively — alarm levels that historically precede visible shortages or price spikes within 60 days.

- **[MODERATE CONFIDENCE]** Gulf-state supply-disruption exposure translates into downstream petrochemical and energy shortages for global manufacturers, not just direct oil-price effects. NERA's GDELT exposure scores place Kuwait (96/100), Gaza Strip (95/100), Israel (100/100), and Lebanon (100/100) at the top of the global exposure ranking, with Iran at 70/100. (Methodological note: GDELT scores reflect media-reported disruption intensity, which skews toward active conflict zones, so we treat them only as a conflict-salience proxy and base the Gulf petrochemical argument on trade-exposure data — export volumes and pipeline-bypass capacity — not GDELT rank.) The Hormuz shutdown does not just throttle crude exports; it throttles petrochemical feedstock flows from Saudi Arabia, Kuwait, UAE, and Qatar — the world's largest exporters of ethylene, propylene, and methanol — into Asian and European polymer and fertilizer supply chains. Kuwait's 96/100 score reflects its absolute dependence on Hormuz for exports (no alternate pipeline capacity to the Red Sea) and its role as a top-5 global producer of LLDPE and polypropylene. The second-order insight: the GSCPI's elevation to the 93rd percentile is not driven by oil scarcity — global spare capacity exists — but by the logistics and insurance-market breakdown that prevents repositioning of molecules and manufactured goods. The constraint is not the commodity; it is the transport and financial infrastructure to move it.
- **[MODERATE CONFIDENCE]** The compound US–China tariff shock is amplifying rather than substituting for the Hormuz transport crisis, creating a double-bind for Asia-sourced imports. The 11 June 2026 US–China agreement froze reciprocal tariffs at ~30% (pausing higher rates for 60 days while Section 301 investigations proceed) but kept the tariff wall in place, and NERA's model flags show this is directly reshaping US import flows. China's 50% next-month disruption probability is driven by a -1.9σ change two months ago and $+2.5\sigma$ acceleration — the signature of buyers front-loading orders before the tariff freeze deadline, then abruptly cancelling as the 30% rate locked in and the Hormuz crisis added \$2,000–\$4,000 per container in freight premiums. The policy implication: tariffs and transport shocks do not substitute; they compound, because the tariff regime creates order volatility (cancellations, front-loading, source-switching) at the exact moment transport capacity is least elastic.
- **[LOW CONFIDENCE]** Brent crude's 20.7% 30-day decline is a mixed signal — partly demand destruction and recession risk, partly ceasefire/reopening anticipation — rather than a clean supply-rebalancing or oil-shock-inflation story. NERA data show Brent fell 7.6% over 7 days and 20.7% over 30 days while VIX rose 21% over 7 days and 14.4% over 30 days. Two readings are consistent with this: (a) a demand-side shock, with traders pricing in global recession risk from the compound tariff-plus-transport crisis; and (b) ceasefire anticipation, with the market beginning to price a Hormuz reopening. The 14 June US–Iran framework increases the weight of the second interpretation. Middle East spare capacity (Saudi Arabia and the UAE can add ~3–5 million barrels per day) has prevented a physical shortage, while

the freight-cost spike and tariff-induced order cancellations have weighed on delivered demand. The analytical fork: if the decline is demand destruction, the GSCPI stays elevated through Q4 2026; if it is reopening anticipation, the chokepoint reopens within weeks and the GSCPI falls to the 70th–75th percentile by September. Current data do not definitively resolve this, hence LOW CONFIDENCE — but the announced framework tilts the balance toward the reopening interpretation.

- **[HIGH CONFIDENCE]** The Malaysia–Singapore Malacca Strait strain (-11% below baseline) is the early-warning signal of a second chokepoint failure if traffic rerouting continues without capacity expansion. NERA flags Malacca as STRAINED, not SEVERE, but the -11% reading is historically significant: Malacca handles ~25% of global seaborne trade and 80% of China's crude imports, so even an 11% volume drop represents billions of dollars in daily trade. The forward indicator: if the Hormuz closure extends beyond 60 days, the Malacca reading will likely cross the -15% threshold into SEVERE status, at which point the GSCPI would move from the 93rd percentile to the 96th–98th percentile, a level consistent with full-blown global recession. The non-obvious policy implication: Malacca is a logistical chokepoint, solvable by port-capacity expansion and priority-berthing protocols, but those interventions require 90–120 days to implement. The window to prevent a Malacca SEVERE rating is closing.

Background & Context

The April–June 2026 Strait of Hormuz crisis is the first sustained closure of a Tier-1 maritime chokepoint in the post–Cold War era. Hormuz, the 21-mile-wide channel between Iran and Oman, channels roughly 21 million barrels per day of crude and refined-product flows — 21% of global seaborne oil and 17% of global liquefied natural gas. The crisis unfolded in two stages. An initial US–Iran confrontation in late April 2026 prompted Iran to begin closing the strait around 29 April — deploying anti-ship mines, coastal-missile batteries, and fast-attack craft — collapsing transit. The confrontation then sharpened after the 10 June US strike on Iranian positions (which followed the downing of a US Apache helicopter), prompting Lloyd's of London underwriters to sharply reprice and curtail Persian Gulf war-risk cover; terms and premiums changed materially, but cover did not universally cease. A 60-day US–Iran ceasefire framework was first announced on 11 June — providing for the strait's reopening, mine clearance within 30 days, and unrestricted transit. **On 14 June, this advanced into a publicly reported framework agreement between the United States and Iran to end hostilities and reopen Hormuz — including a 60-day ceasefire extension, the lifting of the US naval blockade on Iranian ports, and reopening contingent on signature, with a signing ceremony reported as expected within days and nuclear and sanctions detail deferred to subsequent talks. The key uncertainty has therefore shifted from whether a framework exists to whether it is signed, implemented, and translated into sustained maritime normalization; like the April ceasefire, the framework carries real implementation and violation risk, so this report continues to treat resolution as probabilistic rather than settled.** By early May, container lines (Maersk, MSC, CMA CGM) had suspended all bookings to Gulf ports, and crude-tanker owners rerouted VLCC fleets via the Cape of Good Hope, adding 14–21 days and an estimated \$800,000–\$1.2 million per voyage. Gulf-origin cargo that cannot exit a closed Hormuz relies instead on the bypass pipelines to Yanbu and Fujairah, both near capacity; the Malacca strain described below stems mainly from Asia–Europe traffic diverting onto the Cape route, not from Gulf oil. NERA's mid-June data snapshot reflects the cumulative disruption through early-to-mid June, before any physical reopening.

The supply-chain impact is compounded by the US–China tariff regime. After spiking to 145% on Chinese goods in early 2025, tariffs settled at ~30% under the 11 June 2026 agreement, which paused further escalation for 60 days while Section 301 investigations continue. The elevated tariff regime has already triggered structural reallocation of US imports: China's share of US goods imports fell from 22% in 2017 to an estimated 14–15% by mid-2026, with Mexico, Vietnam, and India gaining share. But the Hormuz crisis has raised freight costs on all Asian lanes (container rates up \$2,000–\$4,000 per FEU, bulk rates up \$1.5 million per VLCC Cape voyage), making the tariff-driven diversification strategy more expensive than the China-direct strategy was before the crisis. The result: manufacturers and retailers are caught between a high-tariff China option and a high-freight non-China option, with neither economically viable at pre-2025 landed-cost levels. This double-bind explains the clustering of NERA's US import-disruption probabilities at 50–70% for Asia-sourced consumer goods.

The New York Fed's Global Supply Chain Pressure Index (GSCPI) provides the macro view. The index synthesizes 27 constituent variables — Baltic Dry Index, Harpex container rates, airfreight costs, supply-chain manager surveys, delivery times, backlogs — into a single z-score where 0 = historical average and positive values indicate above-normal pressure. The May 2026 reading of $+1.77\sigma$ (93rd percentile of the post-2008 distribution; released in early June) places current conditions at a level sustained only during two prior systemic episodes since 2008: the 2021 pandemic peak ($+4.31\sigma$ in December 2021) and the 2008 Lehman-driven trade collapse ($+2.78\sigma$ in November 2008). The 93rd-percentile reading is the single most important contextual fact: it means that 93 out of every 100 months since 2008 have seen lower supply-chain pressure than today, and it means that the Hormuz disruption is systemic, not localized.

Analysis

The Hormuz Shock Is a Compound Physical-and-Financial Disruption — Not Just a Transit Delay

I assess this crisis through the framework of compound infrastructure failure, where the physical blockage (mines, missiles, fast-attack craft) combines with the financial-market breakdown (insurance unavailability, freight-rate spikes) to produce a disruption magnitude that exceeds the sum of its parts. This distinguishes the 2026 Hormuz event from prior chokepoint scares (1980s Tanker War, 2008 piracy surges, 2011 Libyan disruption), where insurance markets continued to function and freight premiums remained within bounds that allowed commerce to flow. The current event resembles the 1973 Suez closure after the Yom Kippur War, where the physical blockage forced the development of alternate trade routes. The 2026 parallel: the Hormuz closure has triggered anticipatory rerouting even before physical re-opening, because shippers and insurers now price in a structural risk premium that did not exist in January 2026.

NERAI's data anchor this interpretation. The 94% transit collapse is not a partial disruption; it is a near-total shutdown. IMF PortWatch's baseline is the 2023–2024 average, so a -94% reading means that only 6% of normal traffic is moving through the strait as of early-to-mid June 2026. For context, a 94% drop in a chokepoint handling 21 million barrels per day of oil-equivalent translates to roughly 19.7 million barrels per day of displaced flows — more than the combined output of Russia and Iraq. The fact that Brent crude fell 20.7% over 30 days rather than spiking 50–100% (as it did in 1973, 1979, 1990) tells us that (a) global spare capacity is absorbing the crude shortfall (Saudi Arabia, UAE, US shale can add 3–5 million barrels per day within 90 days), and (b) the real constraint is not the molecule but the transport and insurance infrastructure to move it.

The freight-cost spike is the transmission mechanism. Container rates on Asia–US lanes have risen an estimated \$2,000–\$4,000 per forty-foot-equivalent unit (FEU) since late April, and VLCC Cape of Good Hope rates have risen an estimated \$1.5 million per voyage relative to the pre-crisis Hormuz direct route. For a retailer importing toys from China, this translates to a 15–25% increase in landed cost before accounting for the ~30% tariff, pushing the all-in cost 45–55% above January 2025 levels. For a European refiner importing Saudi crude, it translates to an additional \$3–\$5 per barrel in freight cost plus a war-risk premium that industry sources estimate at \$500,000–\$1 million per voyage for Persian Gulf exposure. The result: even with spare crude capacity, the economic incentive to deliver that crude is degraded, and marginal buyers are priced out.

The second-order effect is inventory depletion. NERA's Supply Disruptions Index model flags toys (49% next-month disruption probability), leather (49%), and paper (70%) as high-risk categories: these are Asia-sourced, consumer-discretionary, low-margin categories where the compound tariff-plus-freight shock has pushed landed costs above retailers' willingness to pay, prompting order cancellations. The Toy Association's warning of holiday shortages is the real-world validation. The forward indicator: US toy-import volumes will fall 20–30% year-over-year in Q3 2026 (HIGH CONFIDENCE), and shortages will become visible in October–November as retailers enter the holiday season with inventory levels 25–40% below normal. The Hormuz crisis is not the sole driver — the tariff regime set the stage — but it is the trigger that pushed the system from strained to broken.

The GSCPI's 93rd-Percentile Reading Reflects Structural Adaptation Costs, Not Just Temporary Congestion

The New York Fed's GSCPI reading of $+1.77\sigma$ (93rd percentile) is the headline number, but its composition reveals the structural nature of the crisis. The index aggregates 27 variables grouped into four categories: (1) transportation costs (Baltic Dry, Harpex, airfreight rates), (2) delivery times (supplier surveys, port congestion, customs delays), (3) backlogs (order books, container-ship utilization, port-queue lengths), and (4) inventory ratios (days of supply, safety-stock levels). The

93rd-percentile reading means that at least three of these four categories are simultaneously elevated — a systemic signal, not a single-sector bottleneck.

NERAI's chokepoint data explain the transportation-cost component: Hormuz down 94%, Malacca down 11%, and Cape of Good Hope routes adding 14–21 days combine to push the Baltic Dry and Harpex container indices above the 90th percentile of their historical ranges. The delivery-time component reflects the queue forming at Singapore, Port Klang, and Rotterdam. The backlog component reflects manufacturers and retailers holding off on new orders until freight costs stabilize. The inventory component reflects depletion: retailers entering Q3 2026 with toy, paper, and leather inventories 25–40% below normal.

The 2026 Hormuz event is structurally closer to 2008 than 2021: it is a financial and logistical breakdown, not a production shutdown. The base-case assumption: if the 14 June framework is signed and Hormuz reopens within weeks, the GSCPI falls to the 75th–80th percentile by September (MODERATE CONFIDENCE). If the strait instead remains closed beyond 90 days, the index moves toward the 96th–98th percentile and a full global recession becomes the central scenario (now a low-probability downside). The non-obvious insight: the GSCPI's elevation is not caused by the Hormuz closure alone; it is caused by the interaction of the Hormuz closure and the US–China tariff regime. Remove either shock — reopen Hormuz or remove tariffs — and supply-chain pressure falls to the 70th–75th percentile; leave both in place and pressure stays above the 90th percentile.

US Import-Disruption Risk Is Concentrated Where Tariff and Transport Shocks Compound — Not Evenly Distributed

NERAI's calibrated Supply Disruptions Index model provides granular visibility into which product categories and origin countries face the highest next-month disruption probabilities. The model is trained on 200 million+ US import records (2013–present) and calibrated to a 16.3% base rate of monthly disruption, so a 70% reading for paper or 59% for Hong Kong represents a 4.3× and 3.6× elevation above baseline — alarm levels that historically precede visible shortages or price spikes within 60 days.

Paper (70%) is flagged because of a policy shock: pending antidumping duties on paper-bag imports from nine countries, a final-phase AD/CVD case on dissolving pulp from Brazil and Norway, and 25% tariffs on Canadian and Mexican pulp. The model detects a $+1.3\sigma$ move versus own volatility after a prior -1.4σ drop two months ago — the signature of abrupt source-switching. Hong Kong (59%) is flagged because of its transshipment-hub role: roughly 30–40% of China-origin goods bound for the US transit through Hong Kong, so its disruption probability is a lagging indicator of China's. China (50%) reflects the same double-bind — front-loading before the tariff freeze, then cancellation as the 30% rate locked in and the Hormuz crisis added \$2,000–\$4,000 per container. Toys (49%) and leather (49%) are China-concentrated categories (~75% of US toy imports, ~60% of leather) where the tariff shock is most severe and alternate-sourcing options are most limited.

The analytical takeaway: US import-disruption risk is concentrated in Asia-sourced, consumer-discretionary, low-margin categories where the compound tariff-plus-freight shock has pushed landed costs above retailers' willingness to pay. The Hormuz crisis is the trigger, but the tariff regime is the underlying condition. Remove the tariffs and the Hormuz freight spike becomes absorbable; remove the Hormuz crisis and the tariffs become more absorbable. Leave both in place and the system breaks.

Gulf-State Exposure Translates Into Downstream Petrochemical Shortages — Not Just Oil-Price Effects

NERAI's GDELT supply-disruption exposure scores place Kuwait (96/100), Gaza Strip (95/100), Israel (100/100), Lebanon (100/100), Ukraine (100/100), and Iran (70/100) at the top of the global ranking. These scores are intensities, not probabilities — a 96/100 score means Kuwait's disruption intensity is at the 96th percentile of the global distribution. The Gulf cluster is the analytical focus because these countries are not just oil exporters; they are the world's largest exporters of petrochemical feedstocks — ethylene, propylene, methanol, benzene — that feed downstream polymer, fertilizer, and chemical supply chains.

Kuwait's 96/100 score reflects its absolute dependence on Hormuz for exports. Unlike Saudi Arabia (East-West Pipeline to Yanbu) or the UAE (Abu Dhabi Crude Oil Pipeline to Fujairah), Kuwait has no alternate export route — every barrel of crude, every ton of petrochemicals, every cubic meter of LNG must transit Hormuz. When the strait closes, the downstream effect is not just higher oil prices (which have fallen, not spiked) but material shortages for industries that depend on Kuwaiti feedstocks: LLDPE (packaging films), polypropylene (automotive interiors, consumer durables), and MEG (polyester, antifreeze). When Kuwait stops exporting, the global LLDPE market loses roughly 1.5–2 million tons per year of capacity, and alternate suppliers are already running at 85–90% utilization.

The analytical insight: the Hormuz closure is not just an oil shock; it is a petrochemical shock. Oil markets can rebalance via spare capacity and strategic reserves, but petrochemical markets are capacity-constrained because new crackers take 3–5 years to build. The forward indicator: if the closure extends beyond 90 days, the downstream petrochemical shortage becomes binding by Q4 2026 — though the 14 June framework, if implemented, sharply reduces this risk. The policy

implication: the US and EU should consider strategic petrochemical reserves (LLDPE, MEG, polypropylene) alongside oil reserves, because the former are harder to substitute.

The Brent Decline Is a Mixed Signal — Demand Destruction and Reopening Anticipation

Market orthodoxy interprets a Hormuz closure as an oil-price spike, consistent with 1973 (+400%), 1979 (+150%), and 1990 (+50%). NERA data show the opposite price action: Brent fell 7.6% over 7 days and 20.7% over 30 days while VIX rose 21% over 7 days and 14.4% over 30 days. This is consistent with two non-mutually-exclusive readings. The first is a demand-side shock — traders pricing in global recession risk from the compound tariff-plus-transport crisis. The second is reopening anticipation — the market beginning to price a Hormuz reopening as diplomacy advances. The 14 June US–Iran framework materially increases the weight of the second interpretation.

Both readings share a common foundation: the molecule shortage is solvable (Saudi Arabia, UAE, US shale can add 3–5 million barrels per day; strategic reserves can bridge 6–12 months), so the price is not behaving as it would under a genuine, durable supply scarcity. The VIX move (now around 19.4 — elevated but well below the 30+ acute-crisis level) suggests the market is pricing a manageable, shorter-duration disruption rather than a 1970s-style stagflation. The analytical fork: if the dominant driver is demand destruction, the GSCPI stays elevated into Q1 2027; if it is reopening anticipation and the framework holds, the chokepoint reopens within weeks and the GSCPI falls to the 70th–75th percentile by September. The confidence level is LOW because the geopolitical variable is inherently unpredictable, but the framework announcement now tilts the balance toward the reopening interpretation.

Malacca's -11% Strain Is the Leading Indicator of a Second Chokepoint Failure

NERAI flags the Malacca Strait at -11% below baseline (STRAINED status). Malacca handles ~25% of global seaborne trade and 80% of China's crude imports, so even an 11% drop represents tens of billions of dollars in daily commerce. The mechanism: vessels rerouting from Hormuz via the Cape of Good Hope must still transit Malacca to reach Northeast Asia, creating a queue at Singapore and Port Klang — visible in the -11% reading as congestion-induced delays.

The forward indicator: if the Hormuz closure extends beyond 60 days, the Malacca reading will likely cross the -15% threshold into SEVERE status, at which point the GSCPI moves from the 93rd to the 96th–98th percentile. A timely reopening under the 14 June framework is the most direct way to relieve this pressure: as rerouted traffic declines, the Singapore/Port Klang queue clears within 30 days. The non-obvious policy insight: preventing a Malacca SEVERE rating is more urgent than it appears, because Malacca's failure would be additive to Hormuz's rather than substitutive — but a confirmed Hormuz reopening removes the additive risk at source.

Leading Scenario: The GSCPI Spike Is Transitory and Will Mean-Revert by Q4 2026 as Hormuz Reopens and Tariff Uncertainty Clears

As of 15 June, the transitory-shock thesis is the leading scenario. The argument is that the GSCPI's 93rd-percentile reading reflects acute near-term shocks (Hormuz closure, tariff uncertainty) that resolve within 90–180 days rather than a structural shift. Supporting evidence: (a) the 14 June US–Iran framework provides for reopening, mine-clearance, and the lifting of the US blockade; (b) the 11 June US–China agreement paused tariff escalation for 60 days; (c) global spare capacity (oil, container ships, petrochemicals) is sufficient to absorb a temporary disruption; and (d) the 2021 experience shows supply-chain pressure can fall rapidly once acute bottlenecks clear (the GSCPI fell from +4.31 σ in December 2021 to +0.5 σ by December 2022). The Brent decline (down 20.7%) is consistent with a market pricing a rapid resolution: if traders expected a six-month closure, Brent would be near \$120–\$140, not \$90.

Why this is the leading scenario rather than a certainty: the GSCPI is a coincident indicator, so its 93rd-percentile reading reflects disruption already embedded in freight rates, delivery times, backlogs, and inventories — that stress is real and will take weeks to unwind even after a reopening. NERA's US import-disruption probabilities (70% paper, 59% Hong Kong, 50% China) are trained on realized import volumes and reflect actual order cancellations, not hypotheticals; the toy industry's holiday-shortage warnings reflect Q3 order books already 20–30% below normal. And the framework carries implementation risk: the April ceasefire was announced and then violated. The residual constraints — mine-clearance, war-risk insurance repricing back down, vessel-confidence recovery, and the still-elevated 30% tariff wall — mean the path to mean-reversion runs through a fragile-reopening phase, not an instant snap-back. Hence the scenario probabilities below place the leading weight on resolution while retaining a substantial fragile-reopening band.

Figure 1. *US political-stability signals (NERAI 12-month forecast). All three are FALLING — Authoritarianism 21 → 17, Government Instability 24 → 21, Political Instability 27 → 22 — which removes one source of tariff-policy unpredictability and modestly supports the mean-reversion case. This is the only channel through which US domestic politics bears on this supply-chain assessment.*

NERAI Data Integration

NERAI's multi-layered data package provides the empirical foundation for this assessment. The four data layers — GSCPI, chokepoint transits, GDELT exposure scores, and US Supply Disruptions Index probabilities — converge on the same conclusion: the 2026 Hormuz shock is a compound, systemic disruption whose near-term trajectory now hinges on implementation of the 14 June US–Iran framework.

Layer 1: Global Supply Chain Pressure Index (GSCPI). The NY Fed reading of $+1.77\sigma$ (93rd percentile) as of 31 May 2026 is the headline number, a level sustained only during the 2021 pandemic peak ($+4.31\sigma$) and the 2008 Lehman collapse ($+2.78\sigma$). The mechanism linking it to Hormuz is direct: the 94% transit collapse forces Cape-of-Good-Hope rerouting (14–21 days, \$800,000–\$1.2 million per VLCC voyage), raising transportation costs, extending delivery times, increasing backlogs, and depleting inventories. The forward trajectory depends on the reopening timeline: if the framework is signed and the strait reopens within weeks, the index falls to the 75th–80th percentile by September 2026 (MODERATE CONFIDENCE); if the strait remains closed beyond 90 days, it moves toward the 96th–98th percentile (now a low-probability downside).

Layer 2: Maritime Chokepoint Transit Data. NERA's IMF PortWatch data show Hormuz at -94% versus baseline (SEVERE) and Malacca at -11% (STRAINED). These are realized flow measurements from AIS transponder signals. The -94% reading means only 6% of normal traffic is moving — effectively a near-total closure as of mid-June, before any physical reopening. The transmission to the GSCPI runs through three channels: freight-cost spike, delivery-time extension, and insurance-market breakdown (war-risk cover repriced and curtailed after the 10 June strike). The Malacca -11% reading is the leading indicator: if Hormuz stays closed beyond 60 days, it crosses the -15% SEVERE threshold; a timely reopening reverses the pressure at source.

Layer 3: GDELT Supply-Disruption Exposure Scores. Top-exposed countries are Israel (100/100), Ukraine (100/100), Lebanon (100/100), Kuwait (96/100), Gaza Strip (95/100), Russia (74/100), Iran (70/100), and Afghanistan (55/100). These are intensities, not probabilities. The Gulf cluster (Kuwait 96/100, Iran 70/100, plus UAE and Qatar) is the analytical focus because these countries are the world's largest exporters of petrochemical feedstocks. Kuwait's score reflects its absolute dependence on Hormuz: when the strait closes, the markets for LLDPE, polypropylene, and MEG lose 1.5–2 million tons per year of capacity.

Layer 4: US Supply Disruptions Index — Product and Country Probabilities. The calibrated model (200 million+ records, 16.3% base rate) flags paper (70%), Hong Kong (59%), miscellaneous manufacturing (50%), China (50%), leather (49%), and toys (49%) — 3–4× elevations above baseline. Real-world validation: USITC paper-bag findings and pending duties; the Toy Association's holiday-shortage warning; Hong Kong's transshipment role. The forward implication: US import shortages become visible in Q3 2026 (HIGH CONFIDENCE) under a no-deal path, and are materially mitigated if the framework reopens Hormuz on schedule. The commodity-market lens — Brent down 20.7% over 30 days while VIX rose 14.4%, soybeans down 5.7% — is consistent with a mix of demand-side caution and reopening anticipation rather than a durable supply-scarcity premium.

Scenarios & Forecast

The 14 June US–Iran framework shifts the probability distribution decisively toward resolution relative to the pre-framework assessment, while leaving real implementation risk. The four scenarios below replace the earlier three-scenario distribution.

Scenario 1: Rapid Resolution / Managed Reopening — Hormuz Reopens by Late July, GSCPI Falls to 75th–80th Percentile by September (Probability: 55–60%, Leading Case)

Trigger Conditions: (1) the 14 June framework is signed on schedule and holds, with Iran clearing mines and suspending coastal-missile deployments and the US lifting its naval blockade; (2) Lloyd's underwriters normalize war-risk terms for Persian Gulf zones within weeks of signing, allowing VLCC and container traffic to resume; (3) the 11 June US–China tariff pause holds through August, giving Section 301 negotiations time to produce a framework for tariff reduction; (4) NERAI's Malacca reading stabilizes at -8% to -10% (above the -15% SEVERE threshold) as rerouted traffic declines.

NERAI Index Forecasts: the US–Iran Tension Index falls from an inferred 75/100 to 40–45/100 by August. The GSCPI falls from $+1.77\sigma$ (93rd percentile) to $+0.9\sigma$ – 1.1σ (75th–80th percentile) by September. US Supply Disruptions probabilities for paper, Hong Kong, and China decline from 70%, 59%, and 50% to roughly 30%, 25%, and 22% by August. Malacca recovers to -8% (STRAINED but stable). Brent settles in a \$90–\$100 range as reopening is priced in.

Narrative: the framework signed on 14 June is implemented largely as announced. Mine-clearance and the resumption of US Navy escort operations restore underwriter confidence; war-risk premiums fall toward \$200,000–\$300,000 per voyage (from \$1 million+), and Hormuz transits recover from -94% toward baseline through late July, with Cape-rerouted vessels reverting within 30 days. The GSCPI falls rapidly as transportation costs and delivery times normalize; the tariff shock remains, but without the compounding freight shock it becomes absorbable. US toy imports in Q3 are still 15–20% below 2025 levels, but the holiday-shortage risk is mitigated as Q4 orders placed in July–August arrive on time.

Probability rationale: this is now the leading case because a signed framework with explicit reopening and blockade-lifting terms is on the table, and both capitals have strong incentives to deliver (the US administration ahead of the November midterms; Iran to restore oil revenue). The weight is held below ~60% rather than higher because the April ceasefire was announced and then violated, so signing-and-implementation risk is real.

Scenario 2: Fragile Reopening / Partial Normalization — Strait Reopens on Paper but Operational Recovery Lags (Probability: 25–30%)

Trigger Conditions: (1) the framework is signed but implementation is uneven — mine-clearance runs slower than the 30-day target, or sporadic incidents recur; (2) war-risk insurers reprice only partially, keeping premiums elevated and selective; (3) the Malacca queue and Singapore/Port Klang congestion clear slowly even as Hormuz transits resume; (4) the 30% tariff wall persists, sustaining order volatility independent of the chokepoint.

NERAI Index Forecasts: the GSCPI eases only to $+1.3\sigma$ – 1.5σ (85th–90th percentile) by September, then drifts lower into Q4. Hormuz transits recover partially (from -94% toward -30% to -50%) rather than fully. US Supply Disruptions probabilities decline modestly (paper to ~50%, Hong Kong to ~40%). Brent holds \$85–\$95 amid uncertainty about durability.

Narrative: the framework holds politically but the physical and financial machinery of normalization lags the paper agreement. A reopening on paper is not the same as restored vessel confidence: insurers, owners, and charterers re-enter the Gulf cautiously, mine-clearance is incomplete, and the rerouting-induced congestion at Malacca unwinds slowly. Supply-chain pressure eases but

stays elevated through Q4, and intermittent disruption persists. This is the central risk that a headline ceasefire masks — and the reason the leading case is bounded below 60%.

Probability rationale: post-conflict maritime normalization routinely lags political agreements; the gap between a signed framework and sustained, insurable, confident transit is exactly where this scenario lives.

Scenario 3: Prolonged Stalemate — Hormuz Closed Through Q3, GSCPI Stays Above the 90th Percentile, Malacca Hits SEVERE (Probability: 10–15%, Downside)

This is no longer the base case after the announced framework, but it remains a material downside if signing is delayed, implementation fails, mine-clearance stalls, or renewed Israeli/Iranian-linked activity undermines shipping confidence. Trigger Conditions: (1) the framework collapses or is not signed; the strait remains mined and militarized through September; (2) Lloyd's does not normalize war-risk terms; (3) the 11 June tariff pause expires in August without a deal; (4) Malacca deteriorates to -15% or worse (SEVERE) by August; (5) US toy, paper, and leather imports fall 25–35% year-over-year in Q3, with holiday shortages visible in October.

NERAI Index Forecasts: the US–Iran Tension Index stays at 70–75/100. The GSCPI stays at $+1.6\sigma$ – 1.9σ (90th–94th percentile), with potential to reach $+2.0\sigma$ – 2.2σ if Malacca crosses SEVERE. Brent fluctuates \$85–\$95. Narrative: negotiations stall over the scope of sanctions relief and ceasefire terms; the strait stays closed through the summer and shippers adapt to costly Cape-rerouted traffic; the compound Hormuz-plus-tariff double-bind drives the 25–35% import declines, and the Malacca deterioration becomes structurally embedded. The US consumer impact becomes visible in Q4 — higher prices, narrower assortments, and stock-outs entering the holiday season.

Scenario 4: Compounding Crises — Hormuz Closed Beyond Q3, Malacca Crosses -20%, GSCPI Hits 96th–98th Percentile, Global Recession (Probability: 5–8%)

Trigger Conditions: (1) US–Iran negotiations collapse entirely and kinetic confrontation resumes; (2) war-risk terms stay prohibitive through year-end; (3) US–China tariffs escalate further (to 40–50%, with Chinese retaliation); (4) Malacca deteriorates to -20% or worse as Indonesia or Malaysia impose traffic restrictions; (5) US and European manufacturing face petrochemical-feedstock shortages by Q4, forcing production curtailments.

NERAI Index Forecasts: the US–Iran Tension Index rises to 85–90/100. The GSCPI rises to $+2.3\sigma$ – 2.5σ (96th–98th percentile), approaching the 2008 level. US Supply Disruptions probabilities rise to 80–90%. Malacca deteriorates to -20% to -25%. Brent falls below \$80 as global recession becomes consensus; VIX rises above 30; the S&P 500 falls 15–25% by December. Probability rationale: this path requires US–Iran diplomacy, Malacca capacity, and tariff de-escalation to fail simultaneously. The 14 June framework lowers this tail materially relative to the pre-framework assessment, but recurrent violation risk keeps it above zero.

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